INDUSTRIAL POLICY, 1991 REFORMS, PSUS AND DISINVESTMENT

INDUSTRIAL-POLICY CHRONOLOGY → LICENCE-TO-COMPETITION TRANSITION → REFORM-PACKAGE MAP → OWNERSHIP-CHANGE SPECTRUM → AIR INDIA STATUS CHAIN → NEW PSE POLICY MAP

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

● PRIMARY CORE FLOW ○ SUBORDINATE EXTRA ★ APPROVAL / REVIEW

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

Approval: FALSE • Pending user review • source generation g5 and all prior artifacts unchanged

00

STAGE 00

INDUSTRIAL-POLICY CHRONOLOGY

INDUSTRIAL-POLICY CHRONOLOGY · MIXED-ECONOMY ROLE · SCHEDULES A · C + COMMANDING HEIGHTS · MODERNISATION + SELECTIVE DELICENSING · SYSTEMIC DELICENSING + WIDER REFORM PACKAGE · MUST REMEMBER · INDUSTRIAL POLICY EVOLVED FROM LICENSING AND PUBLIC-SECTOR LEADERSHIP

1948 → mixed-economy role → 1956 → Schedules A / B / C + commanding heights → 1980s → modernisation + selective delicensing → 1991 → systemic delicensing + wider reform package → MUST REMEMBER: Industrial policy evolved from licensing and public-sector leadership

CORE CLAIM
- 1948 → mixed-economy role
- 1956 → Schedules A / B / C + commanding heights

MECHANISM
- 1980s → modernisation + selective delicensing
- 1991 → systemic delicensing + wider reform package

CONSEQUENCE / LIMIT
- MUST REMEMBER: Industrial policy evolved from licensing and public-sector leadership...
- 1948 → mixed-economy role

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: MUST REMEMBER: Industrial policy evolved from licensing and public-sector leadership.

01

STAGE 01

LICENCE-TO-COMPETITION TRANSITION

LICENCE-TO-COMPETITION TRANSITION · LICENCE RAJ · ENTRY + CAPACITY + LOCATION CONTROLS · WIDER FIRM CHOICE · PRODUCTIVITY PRESSURE · REGULATION REMAINS · STANDARDS + ENVIRONMENT + MARKET POWER

LICENCE RAJ → entry + capacity + location controls → DELICENSING → wider firm choice → COMPETITION → productivity pressure → REGULATION REMAINS → standards + environment + market power

CORE CLAIM
- LICENCE RAJ → entry + capacity + location controls
- DELICENSING → wider firm choice

MECHANISM
- COMPETITION → productivity pressure
- REGULATION REMAINS → standards + environment + market power

CONSEQUENCE / LIMIT
- LICENCE RAJ → entry + capacity + location controls
- DELICENSING → wider firm choice

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: REGULATION REMAINS → standards + environment + market power.

02

STAGE 02

REFORM-PACKAGE MAP

REFORM-PACKAGE MAP · INDUSTRIAL DELICENSING · TRADE OPENING · EXCHANGE-RATE REFORM · FINANCIAL REFORM · CONNECTED, NOT ISOLATED

INDUSTRIAL DELICENSING

TRADE OPENING → EXCHANGE-RATE REFORM → FINANCIAL REFORM → connected, not isolated

CORE CLAIM
- INDUSTRIAL DELICENSING
- TRADE OPENING

MECHANISM
- EXCHANGE-RATE REFORM
- FINANCIAL REFORM → connected, not isolated

CONSEQUENCE / LIMIT
- INDUSTRIAL DELICENSING
- TRADE OPENING

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXCHANGE-RATE REFORM; FINANCIAL REFORM → connected, not isolated.

03

STAGE 03

OWNERSHIP-CHANGE SPECTRUM

OWNERSHIP-CHANGE SPECTRUM · MINORITY SALE · GOVERNMENT CONTROL RETAINED · STRATEGIC DISINVESTMENT · STAKE + MANAGEMENT CONTROL · CONTROL PASSES TO PRIVATE BUYER · SEPARATE RESTRUCTURING ROUTES

MINORITY SALE → government control retained

STRATEGIC DISINVESTMENT → stake + management control → PRIVATISATION → control passes to private buyer → CLOSURE / MERGER → separate restructuring routes

CORE CLAIM
- MINORITY SALE → government control retained
- STRATEGIC DISINVESTMENT → stake + management control

MECHANISM
- PRIVATISATION → control passes to private buyer
- CLOSURE / MERGER → separate restructuring routes

CONSEQUENCE / LIMIT
- MINORITY SALE → government control retained
- STRATEGIC DISINVESTMENT → stake + management control

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRIVATISATION → control passes to private buyer; CLOSURE / MERGER → separate restructuring routes.

04

STAGE 04

AIR INDIA STATUS CHAIN

AIR INDIA STATUS CHAIN · TRANSACTION DESIGN · BID + APPROVAL · OWNERSHIP AND CONTROL TRANSFER · JANUARY 2022 COMPLETION; DO NOT GENERALISE

POLICY / TRANSACTION DESIGN → BID + APPROVAL → OWNERSHIP AND CONTROL TRANSFER → JANUARY 2022 COMPLETION; do not generalise

CORE CLAIM
- POLICY / TRANSACTION DESIGN
- BID + APPROVAL

MECHANISM
- OWNERSHIP AND CONTROL TRANSFER
- JANUARY 2022 COMPLETION; do not generalise

CONSEQUENCE / LIMIT
- POLICY / TRANSACTION DESIGN
- BID + APPROVAL

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: OWNERSHIP AND CONTROL TRANSFER; JANUARY 2022 COMPLETION; do not generalise.

05

STAGE 05

NEW PSE POLICY MAP

NEW PSE POLICY MAP · FOUR STRATEGIC SECTORS · BARE-MINIMUM PUBLIC PRESENCE · OTHER STRATEGIC CPSES · PRIVATISE WHERE FEASIBLE OR CONSIDER CLOSURE · EXCLUDED CLASSES · PRESERVE OFFICIAL POLICY BOUNDARY · CLOSE DISTINCTION

FOUR STRATEGIC SECTORS → bare-minimum public presence

OTHER STRATEGIC CPSEs → privatise / merge / subsidiary / close → NON-STRATEGIC → privatise where feasible or consider closure → EXCLUDED CLASSES → preserve official policy boundary

CORE CLAIM
- FOUR STRATEGIC SECTORS → bare-minimum public presence
- OTHER STRATEGIC CPSEs → privatise / merge / subsidiary / close

MECHANISM
- NON-STRATEGIC → privatise where feasible or consider closure
- EXCLUDED CLASSES → preserve official policy boundary

CONSEQUENCE / LIMIT
- CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not...
- FOUR STRATEGIC SECTORS → bare-minimum public presence

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Liberalisation is not absence of regulation, privatisation is not.

06

STAGE 06

DISINVESTMENT VERSUS MONETISATION

DISINVESTMENT VERSUS MONETISATION · EQUITY STAKE · STRATEGIC SALE · EQUITY + CONTROL · TIME-BOUND OPERATING · REVENUE RIGHTS · FISCAL RULE · ONE-OFF ASSET RECEIPT, NOT RECURRING REVENUE

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
DISINVESTMENT → equity stake	MONETISATION → time-bound operating / revenue rights	DISINVESTMENT → equity stake
STRATEGIC SALE → equity + control	FISCAL RULE → one-off asset receipt, not recurring revenue	STRATEGIC SALE → equity + control

CORE CLAIM
- DISINVESTMENT → equity stake
- STRATEGIC SALE → equity + control

MECHANISM
- MONETISATION → time-bound operating / revenue rights
- FISCAL RULE → one-off asset receipt, not recurring revenue

CONSEQUENCE / LIMIT
- DISINVESTMENT → equity stake
- STRATEGIC SALE → equity + control

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FISCAL RULE → one-off asset receipt, not recurring revenue.

07

STAGE 07

PSU MANDATE BOARD

PSU MANDATE BOARD · COMMERCIAL GOAL · PUBLIC-SERVICE OBLIGATION · OWNERSHIP FUNCTION · REGULATOR FUNCTION · KEEP SEPARATE

COMMERCIAL GOAL

STRATEGIC / PUBLIC-SERVICE OBLIGATION → OWNERSHIP FUNCTION → REGULATOR FUNCTION → keep separate

CORE CLAIM
- COMMERCIAL GOAL
- STRATEGIC / PUBLIC-SERVICE OBLIGATION

MECHANISM
- OWNERSHIP FUNCTION
- REGULATOR FUNCTION → keep separate

CONSEQUENCE / LIMIT
- COMMERCIAL GOAL
- STRATEGIC / PUBLIC-SERVICE OBLIGATION

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STRATEGIC / PUBLIC-SERVICE OBLIGATION; OWNERSHIP FUNCTION; REGULATOR FUNCTION → keep separate.

08

STAGE 08

COMPETITION SAFEGUARD CHAIN

COMPETITION SAFEGUARD CHAIN · PRIVATISATION WITHOUT CONTESTABILITY · PRIVATE MARKET POWER · QUALITY RISK · NEED COMPETITION LAW + SECTOR REGULATION

PRIVATISATION WITHOUT CONTESTABILITY → PRIVATE MARKET POWER → PRICE / QUALITY RISK → NEED competition law + sector regulation

CORE CLAIM
- PRIVATISATION WITHOUT CONTESTABILITY
- PRIVATE MARKET POWER

MECHANISM
- PRICE / QUALITY RISK
- NEED competition law + sector regulation

CONSEQUENCE / LIMIT
- PRIVATISATION WITHOUT CONTESTABILITY
- PRIVATE MARKET POWER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: PRICE / QUALITY RISK; NEED competition law + sector regulation.

09

STAGE 09

PLAN-THRUST DISTINCTIONS

PLAN-THRUST DISTINCTIONS · SECOND PLAN · BASIC INDUSTRY · MODERNISATION + PRODUCTIVITY · TECHNOLOGY + EARLY DELICENSING · POST-1991 INDUSTRIAL + FINANCIAL REFORM

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
SECOND PLAN → heavy / basic industry	SEVENTH → technology + early delicensing	SECOND PLAN → heavy / basic industry
SIXTH → modernisation + productivity	EIGHTH → post-1991 industrial + financial reform	SIXTH → modernisation + productivity

CORE CLAIM
- SECOND PLAN → heavy / basic industry
- SIXTH → modernisation + productivity

MECHANISM
- SEVENTH → technology + early delicensing
- EIGHTH → post-1991 industrial + financial reform

CONSEQUENCE / LIMIT
- SECOND PLAN → heavy / basic industry
- SIXTH → modernisation + productivity

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: SEVENTH → technology + early delicensing; EIGHTH → post-1991 industrial + financial reform.

10

STAGE 10

OBJECTIVE PYQ DISTINCTIONS

OBJECTIVE PYQ DISTINCTIONS · REGULATORY OFFICE; CIL · STATUTORY BOARD DUTY; NOT ORDINARY TAX · SCHEDULES A/B/C · 1956 VINTAGE · ANSWER KEY · NEVER INFER FROM ROUTING

CCO → regulatory office; CIL → producer

CSR → statutory Board duty; not ordinary tax → SCHEDULES A/B/C → 1956 vintage → ANSWER KEY → never infer from routing

CORE CLAIM
- CCO → regulatory office; CIL → producer
- CSR → statutory Board duty; not ordinary tax

MECHANISM
- SCHEDULES A/B/C → 1956 vintage
- ANSWER KEY → never infer from routing

CONSEQUENCE / LIMIT
- CCO → regulatory office; CIL → producer
- CSR → statutory Board duty; not ordinary tax

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CSR → statutory Board duty; not ordinary tax.

11

STAGE 11

INDUSTRIAL-POLICY ANSWER SPINE

INDUSTRIAL-POLICY ANSWER SPINE · TRACE CHRONOLOGY AND BINDING CONSTRAINT · DISTINGUISH LICENSING, OWNERSHIP AND CONTROL · TEST COMPETITION, CAPABILITY, JOBS AND REGIONS · CONCLUDE WITH EXPLICIT MANDATES + REVIEW · EVIDENCE LIMIT · SEPARATE 1991 MEASURES BY LEGAL/EXECUTIVE

TRACE chronology and binding constraint → DISTINGUISH licensing, ownership and control → TEST competition, capability, jobs and regions → CONCLUDE with explicit mandates + review → EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate 1991 measures by legal/executive

CORE CLAIM
- TRACE chronology and binding constraint
- DISTINGUISH licensing, ownership and control

MECHANISM
- TEST competition, capability, jobs and regions
- CONCLUDE with explicit mandates + review

CONSEQUENCE / LIMIT
- EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate 1991 measures by legal/executive...
- TRACE chronology and binding constraint

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: Separate 1991 measures by legal/executive.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT · FIRST-GENERATION REFORMS IMPROVED PRODUCT MARKETS; LATER REFORMS FOCUS ON · A PSU MANDATE SHOULD SEPARATE COMMERCIAL GOALS, EXPLICIT PUBLIC-SERVICE · DISINVESTMENT VALUATION DEPENDS ON CONTROL PREMIUM, MARKET CONDITIONS, LIABILITIES · STRATEGIC INDUSTRIAL POLICY NEEDS MEASURABLE SPILLOVERS AND SUNSET OR · TRADE EXPOSURE RAISES COMPETITIVE PRESSURE BUT FIRMS NEED INFRASTRUCTURE · THE RELEVANT CHOICE IS NOT STATE VERSUS MARKET, BUT · DEPARTMENT FOR PROMOTION OF INDUSTRY AND INTERNAL TRADE

OPTIONAL SOURCE DEPTH
- CAUTION: First-generation reforms improved product markets; later reforms focus on factors,
- CAUTION: A PSU mandate should separate commercial goals, explicit public-service obligations and
- CAUTION: Disinvestment valuation depends on control premium, market conditions, liabilities,
- CAUTION: Strategic industrial policy needs measurable spillovers and sunset or review clauses to

ADVANCED DEBATE
- CAUTION: Trade exposure raises competitive pressure but firms need infrastructure, finance and
- CAUTION: The relevant choice is not state versus market, but which institution solves a specific
- Department for Promotion of Industry and Internal Trade: coordinates industrial
- Department of Public Enterprises: frames public-enterprise policy and performance

LEGACY / NUANCE
- DIPAM: manages Union government disinvestment and asset-management transactions.
- Competition Commission of India and sector regulators: preserve contestability after
- CAUTION: A minority market sale broadens ownership but leaves management control with
- CAUTION: A strategic sale transfers control and therefore changes incentives more deeply than a

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels